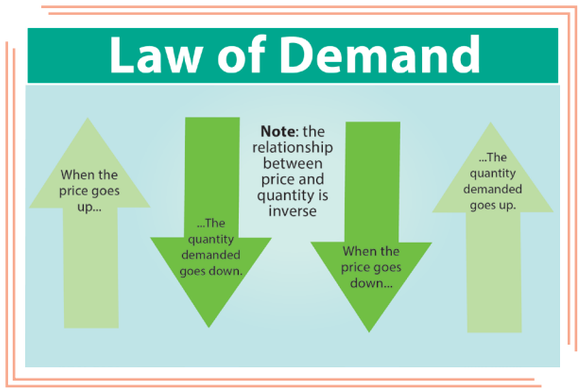


that quantity demanded of a commodity expands with a fall in price and contracts with a rise in price. In other words, a rise in price of a commodity is followed by a contraction in demand and a fall in price is followed by extension in demand. Therefore, the law of demand states that there is an inverse relationship between the price and the quantity demanded of a commodity.

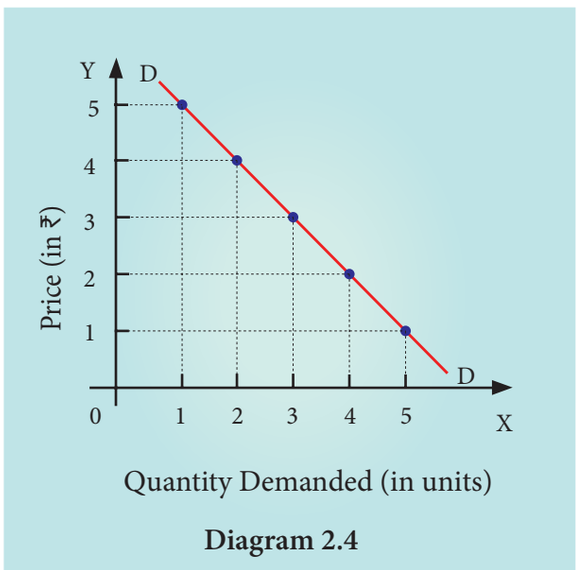


Diagram 2.4

In the diagram 2.4, X axis represents the quantity demanded and Y axis represents the price of the commodity. DD is the demand curve, which has a negative slope i.e., slope downward from left to right which indicates that when price falls, the demand expands and when price rises, the demand contracts.

Market Demand for a Commodity

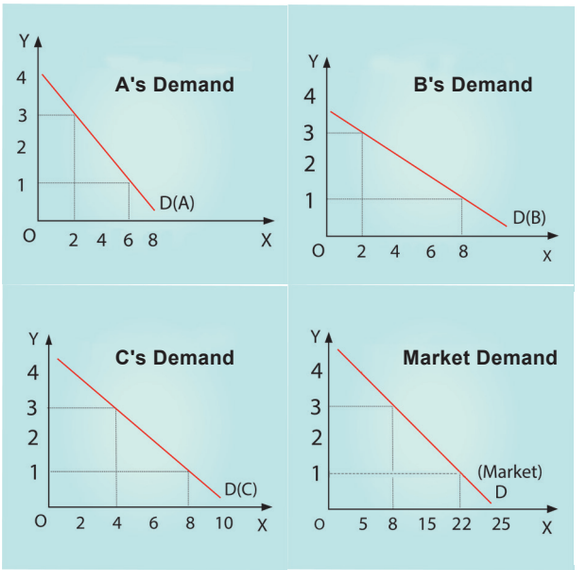


Diagram 2.5

The market demand curve for a commodity is derived by adding the quantum demanded of the commodity by all the individuals constituting the market. In the diagram given above, the final market demand curve represents the addition of the demand curve of the individuals A, B and C at the same price.

When Price is ₹3, the Market demand is 2+2+4 = 8

When Price is ₹1, the Market demand is 6+8+8 = 22

As in the case of individual demand schedule, the Market Demand Curve is at a price, at a place and at a time.

2.8.4 Determinants of Demand

1. ***Changes in Tastes and Fashions***: The demand for some goods and services

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